The nerdy types at the International Monetary Fund had been taken for a ride by the Russian government who cheated on their account. Let us remember that economists are evaluated on how intelligent they sound, not on a scientific measure of their knowledge of reality. However, the price of the bonds was not fooled. It knew more than the economists, more than the Carloses of the emerging market departments.

Louie, a veteran trader on the neighboring desk who suffered much humiliation by these rich emerging market traders, was there, vindicated. Louie was then a 52-year-old Brooklyn-born-and-raised trader who over three decades survived every single conceivable market cycle. He calmly looked at Carlos being escorted by a security guard to the door like a captured soldier taken to the arena. He muttered in his Brooklyn accent: *"Economics Schmeconomics. It is all market dynamics"*.

Carlos is now out of the market. The possibility that history may prove him right (at some point in the future) has nothing to do with the fact that he is a bad trader. He has all of the traits of a thoughtful gentleman, and would be an ideal son-in-law. But he has most of the attributes of the bad trader. And, at any point in time, the richest traders are often the worst traders. This, I will call the *cross-sectional problem*: at a given time in the market, the most profitable traders are likely to be those that are best fit to the latest cycle. This does not happen too often with dentists or pianists – because of the nature of randomness.

John the High-Yield Trader

We met John, Nero's neighbor, in Chapter 1. At the age of 35 he had been on Wall Street as a corporate "high-yield" bonds trader for seven years, since his graduation from Pace Graduate Business School. He rose to head up a team of ten traders in record time – thanks to a jump between two similar Wall Street firms that afforded him a generous profit-sharing contract. The contract allowed him to be paid 20% of his profits, as they stood at the end of each calendar year. In addition, he was allowed to invest his own personal money in his trades – a great privilege.

John is not someone who can be termed as principally intelligent, but he was believed to be endowed with a good measure of business sense. He was said to be "pragmatic" and "professional". He gave the impression that he was born a businessperson, never saying anything remotely unusual or out of place. He remained calm in most circumstances, rarely betraying any form of emotion. Even his occasional cursing (this is Wall Street!) was so much in context that it sounded, well, professional.

John dressed impeccably. This was in part due to his monthly trips to London where his unit had a satellite supervising European high-yield activities. He wore a Saville Row tailored dark business suit, with a Ferragamo tie – enough to convey the impression that he was the epitome of the successful Wall Street professional. Each time Nero ran into him he came away feeling poorly dressed.

John's desk engaged principally in an activity called "high-yield" trading, which consisted in acquiring "cheap" bonds that yielded, say 10%, while the borrowing rate for his institution was 5.5%. It netted a 4.5% revenue, also called *interest rate differential* – which seemed small except that he could leverage himself and multiply such profit by the leverage factor. He did this in various countries, borrowing at the local rate and investing in "risky" assets. It was easy for him to amass over $3 billion dollars in face value of such trade across a variety of continents. He hedged the interest rate exposure by selling U.S., U.K., French, and other government bond futures, thus limiting his bet to the differential between the two instruments. He felt protected by this hedging strategy – cocooned (or so he thought) against those nasty fluctuations in the world's global interest rates.

THE *QUANT* WHO KNEW COMPUTERS AND EQUATIONS

John was assisted by Henry, a foreign *quant* whose English was incomprehensible, but who was believed to be at least equally competent in risk-management methods. John knew no math, he relied on Henry. "His brains and my business sense", he was wont to say. Henry supplied him with risk assessments concerning the overall portfolio. Whenever John felt worried, he would ask Henry for another